

MARKET ANALYSIS

SEBCO's 1883 Crotona Avenue Completion Shows Senior Housing Capital Is Tied to Income Ceilings, Not Demand

A 134-unit Bronx project reveals how AMI limits, not construction costs, now define the feasible basis for affordable senior housing.

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A source-grounded Light Tower Insight. The complete note follows.

The most revealing number at 1883 Crotona Avenue is not the 134 units or the ten stories. It is the income ceiling: 130 percent of area median income, or \$87,480 for a senior household. That number is the entire economic thesis of Crotona Belmont Senior Housing. It is also the constraint that will define whether this project works as an investment or merely as a social good.

SEBCO Development has completed construction on the ten-story mixed-use building at the corner of Crotona Avenue and East 176th Street in the Bronx. Designed by Magnusson Architecture and Planning, the project delivers 134 rental units. Ninety-two of those units are reserved for seniors aged 62 and older earning up to 130 percent of AMI. The remaining 42 units are not described in the filing, but the capital story lives entirely in the 92.

That 130 percent AMI ceiling is the mechanism that makes the basis work. It is high enough to capture a meaningful share of the senior population in a borough where median household income hovers around \$45,000. It is low enough to qualify for the tax-exempt bond allocation, 4 percent Low-Income Housing Tax Credits, and the other public subsidies that make the capital stack feasible. Without that ceiling, the project would need market-rate rents that the immediate Crotona neighborhood cannot support. With it, the developer can underwrite a rent roll that covers operating expenses, debt service, and a modest return to the equity.

But the ceiling is also a lid. A senior household earning \$87,480 in the Bronx is not a low-income household by local standards. It is a household that could, in theory, rent a market-rate one-bedroom in many parts of the borough. The project is not capturing the deepest affordability need. It is capturing the upper band of the affordable spectrum, the cohort that is one rent increase away from cost burden but not yet in crisis. That is a defensible underwriting position, but it is also a narrow one.

The capital implication is straightforward. The lender on this project, likely a bank or a syndicator of tax-exempt debt, underwrote to the subsidy stream, not to the market rent. The debt service coverage ratio is a function of the tax credit equity and the rental income from the 92 units, not of what a

comparable market-rate building would command. The risk is not that rents fall. The risk is that the subsidy structure changes, that the tax credit market tightens, or that the AMI ceiling is adjusted downward in a future allocation cycle. Those are political risks, not market risks. They are also the only risks that matter for this capital stack.

The developer, SEBCO, is a nonprofit community development corporation with a long track record in the Bronx. That matters. A for-profit sponsor underwriting the same basis would need a higher return threshold, which would require either deeper subsidies or higher rents. SEBCO can accept a lower equity return because its mission is not maximum IRR. That is not a criticism. It is a structural fact about who can build this kind of housing and who cannot.

The amenities list is ambitious for a senior building in the Bronx: a fitness center, a spa, a yoga and dance studio, a media room, a party room, an outdoor terrace. Those are not frills. They are the features that make the project competitive for the senior household that has a choice between this building and a market-rate apartment in a neighboring borough. The building is not just housing. It is a product competing for a specific demographic that has options.

The location supports the thesis. The 2 and 5 trains at 174th Street and the B and D at 174-175th Streets are within walking distance. Access to transit is not a luxury for this population. It is a requirement. A senior building without subway access in the Bronx would struggle to fill units at any AMI level. The site selection is itself a capital decision: the land basis, the construction cost, and the transit adjacency had to align for the subsidy math to close.

What the market should test next is whether the 130 percent AMI ceiling becomes a ceiling for the asset's long-term value. If the building performs well, the natural refinancing path is a Fannie Mae or Freddie Mac senior housing loan, which will underwrite to the actual rent roll and the sponsor's track record. If the building struggles, the subsidy structure provides a floor that a market-rate building would not have. The downside is protected. The upside is capped.

That is the trade-off embedded in every unit at 1883 Crotona Avenue. The capital works because the income ceiling is high enough to attract tenants and low enough to attract subsidies. The capital is

also limited by that same ceiling. The building will serve its residents well. It will not generate a windfall for its sponsor. In affordable senior housing, that is not a bug. It is the design.

SOURCES

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